

Generative AI's *Act Two* From Technology Hammer to Real Value

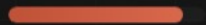
How generative AI is transitioning from novelty demos to end-to-end solutions that solve real human problems

SEQUOIA CAPITAL · SEPTEMBER 2023



Six Decades of Technological Progress Converged to Enable Generative AI

60yr



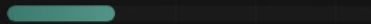
Moore's Law delivered the compute horsepower to process exaflops of data

40yr



The Internet produced trillions of tokens of training data, accelerated by COVID

20yr



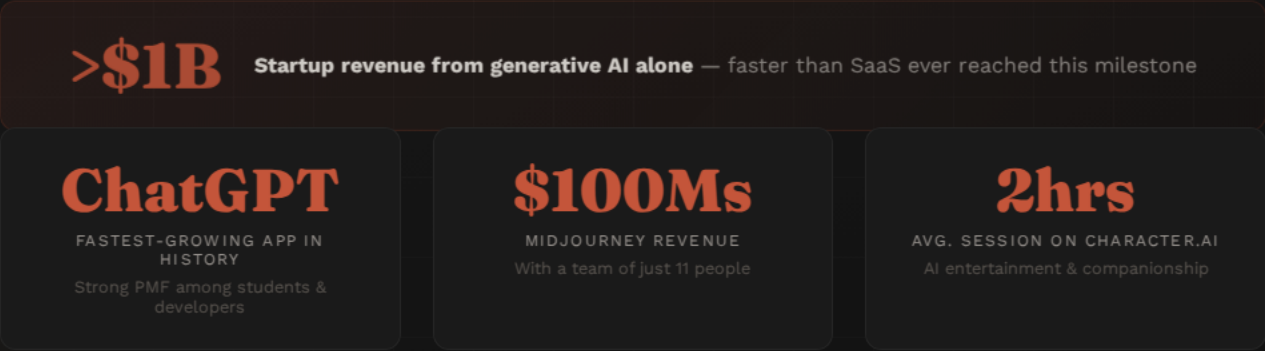
Mobile & Cloud put a supercomputer in every human's palm

ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet

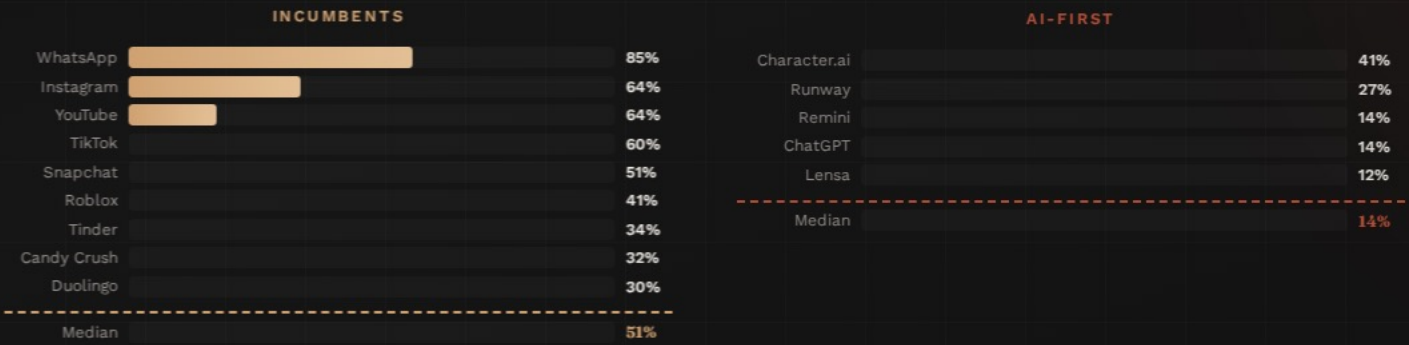


GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Months vs. years — a milestone that took SaaS years, not months, to reach



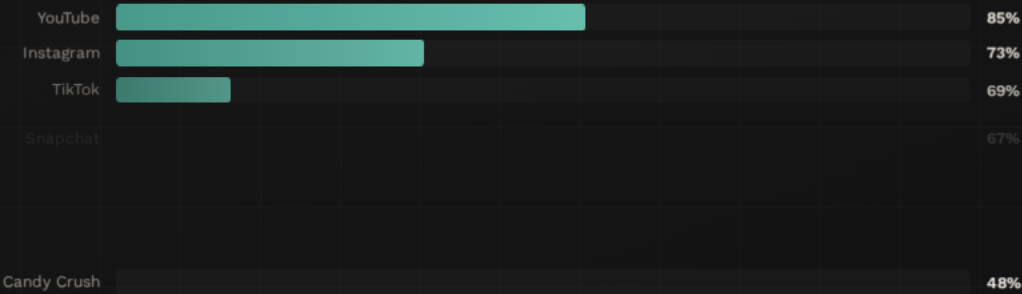
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



3.6x retention disadvantage for AI-first apps

YouTube Leads Incumbents at 85% Monthly Active Usage

The engagement bar AI apps must clear



63% Incumbent median monthly active usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1

Technology-Out

- ⚙️ Foundation models as **the entire solution**
- ✨ **Novelty demos** — lightweight demonstrations of cool technology
- 📦 **Thin wrappers** around model APIs
- ↓ **Poor retention** — 14% median for AI-first apps

Act 2

Customer-Back

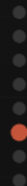
- ⚙️ Foundation models as **a piece of a comprehensive solution**
- 🔧 **New editing interfaces** that make workflows stickier & outputs better
- ∞ **Multi-modal** workflows integrated end-to-end
- ✓ **Solves human problems end-to-end** rather than offering thin wrappers

Harvey

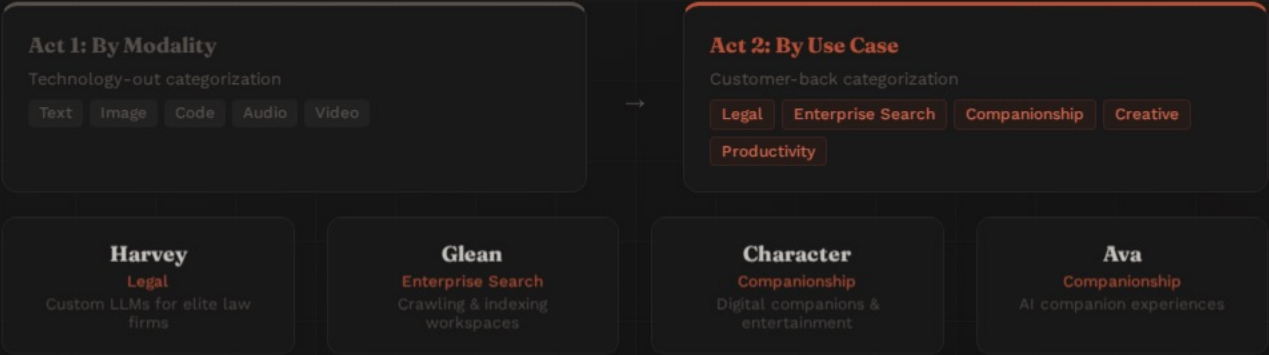
Glean

Character

Ava



Market Map Reorganized by Use Case, Not Model Modality



This reorganization mirrors the broader Act 1 to Act 2 transition — applications are increasingly multi-modal, defined by the problem they solve, not the model they use



Key Takeaways: What Separates Winners in Act Two

- 1 Retention is the critical challenge** — AI-first apps at 14% median retention vs. 51% for incumbents, a 3.6x disadvantage
- 2 Foundation models should be a component, not the whole product** — Act 2 winners wrap models in comprehensive solutions
- 3 Multi-modal, workflow-integrated solutions will win** — new editing interfaces and end-to-end problem solving create stickiness
- 4 The \$1B+ revenue milestone proves real demand exists** despite hype cycles — GenAI surpassed SaaS's pace
- 5 Companies solving end-to-end human problems will define Act 2** — from technology hammer to real value delivery

